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Hardware Technology | Asia Pacific

Datacenter Market Insights, Part 1 – Overall Servers

Total server shipments grew 22% y/y in 1Q25, with cloud the main driver for both AI and general server. We expect AI server shipments to grow sequentially throughout 2025.

Global server shipments totaled 3.9mn units in 1Q25 (-1% q/q, +22% y/y): Total server shipments decreased slightly q/q on seasonality, but overall general server demand was still well-sustained in 1Q, driven mainly by cloud. Although the GB200 ramp kicked off in late 1Q, hyperscalers' procurement of HGX servers continued, and we believe both architectures will co-exist for some time. On the enterprise side, general server demand remained subdued in 1Q.

In 1Q, AI server shipments continued to increase sequentially for most OEMs/ODM direct, after a slowdown in 4Q due to the GPU platform transition. This is seen from the sequential increase in server ASPs of major OEMs/ODM direct and y/y shipment growth of high-value server. **Super Micro** (not covered) reported shipments fell 20% q/q, but ASP rose 2% q/q to US\$19.6k. **Lenovo's** total server shipments declined 10% q/q, but its high-value server shipments increased 882% q/q and its ASP rose 22% q/q; we believe this could be attributable to Lenovo's increased AI server shipments to Chinese CSPs.

For aggregate ODM direct, 1Q shipments totaled 1,857k units (+25% q/q, +50% y/y), with unit market share increasing 10ppts q/q to 47.4%, likely driven by continued strong demand for general servers from cloud customers, but AI server demand also remained strong in 1Q. Hence, 1Q25 ODM direct server ASP increased 16% q/q to US\$32.1k.

GB200 rack shipments ramp in 2Q: Our checks indicate GB200 rack shipments kicked off with larger volumes since late February, so aggregate 1Q GB200 shipments should be only ~1k in 1Q. We believe supply chain output should continue to rise m/m in June to reach 5-6k GB200 rack deliveries for 2Q (see related [report](#)). Based on our supply chain checks, GB300 racks should be ready to ship in 3Q, but volume output will vary among customers based on their infrastructure readiness. Reversion from Cordelia board to Bianca board should help expedite the time-to-market and support a smoother ramp for GB300 vs. GB200.

General server momentum has been well-sustained YTD, based on revenue numbers YTD and commentary by server ODMs. Tariff-induced pull-ins likely played a part in better general server demand vs. seasonality in 1Q as well, when ODM direct's entry-level server shipments increased 36% q/q.

Stock implications: We prefer ODMs/OEMs over components. We like Giga-Byte (2376.TW), Hon Hai (2317.TW), Fii (601138.SS), Quanta (2382.TW), Wistron (3231.TW), Wiyynn (6669.TW). We also still like Delta (2308.TW), AVC (3017.TW), GCE (2368.TW), King Slide (2059.TW), Bizlink (3665.TW), Chroma (2360.TW).

MORGAN STANLEY TAIWAN LIMITED+

Howard Kao

Equity Analyst

Howard.Kao@morganstanley.com

+886 2 2730-2989

Sharon Shih

Equity Analyst

Sharon.Shih@morganstanley.com

+886 2 2730-2865

Derrick Yang

Equity Analyst

Derrick.Yang@morganstanley.com

+886 2 2730-2862

Irene Yen

Research Associate

Irene.Yen@morganstanley.com

+886 2 2730-2869



GREATER CHINA TECHNOLOGY HARDWARE

Asia Pacific

Industry View

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Additional Details

Shipments by region – US outperformed: In 1Q25, all regions again showed positive y/y growth except for Western Europe; the US continued to outperform with shipments up 43% y/y, followed by APxJ up 14%, ROW up 2%, Japan flat, and Western Europe down 7%.

Shipments by segment – high-end servers continued to outperform: High-end server shipments grew 491% y/y (+75% q/q) in 1Q, followed by mid-range servers up 143% y/y (-18% q/q), and entry-level server shipments up 12% y/y (+1% q/q). We view this as consistent with the ongoing ramp of AI servers and general compute server demand trend.

For context, entry-level consists of all systems with an ASP of <US\$25k; mid-range consists of systems between US\$25k and US\$250k; and high-end consists of systems US\$250k+.

In terms of value, high-end servers rose 679% y/y (+151% q/q), mid-range servers increased 179% y/y (-6% q/q), and entry-level servers grew 12% y/y (-11% q/q).

Performance by vendor

ODM direct shipments were up 50% y/y (+25% q/q) in 1Q25, as hyperscalers' demand for general compute servers carried into 1Q and AI servers (both HGX servers and GB200 server racks) continued to ramp. ODM direct ASP increased 16% q/q (+134% y/y) to ~US\$32.1k, likely due to higher AI server contribution, particular with some contribution of GB200 server racks kicking in from February.

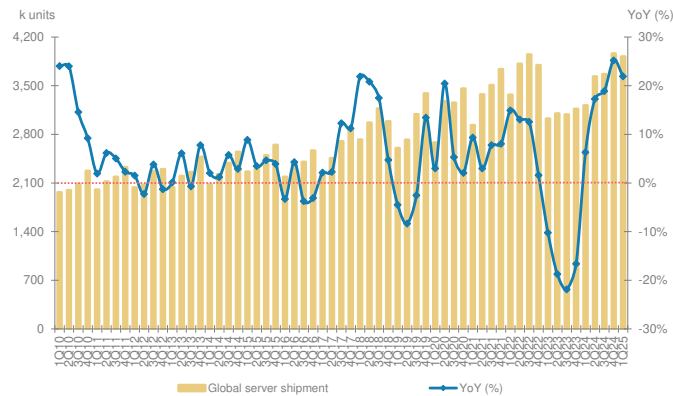
ODM direct market share was 47.4% in 1Q, up 10ppts q/q from 37.4% in 4Q24. We expect AI server shipments to trend up q/q through 2025, and see some growth for general compute servers in 2025, likely in the 5-10% range.

On an absolute shipment basis, total server shipments rose 22% y/y in 1Q:

- l Dell's market share was 9.1% (-50bp q/q, -120bp y/y).
- l HP's share was 7.2% (-60bp q/q, -270bp y/y).
- l Super Micro's share was 5.6% (-130bp q/q, -80bp y/y).
- l Lenovo's share was 4.9% (-50bp q/q, -140bp y/y).
- l Inspur's share was 7.5% (-50bp q/q, -70bp y/y).
- l Huawei's share was 0.9% (-150bp q/q, -20bp y/y).
- l Sugon's share was 0.1% (flat q/q, flat y/y).

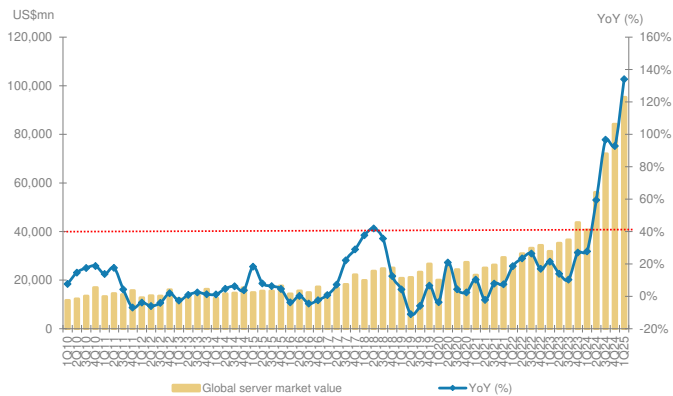
Exhibits

Exhibit 1: Worldwide Server Market Shipments – YoY Growth



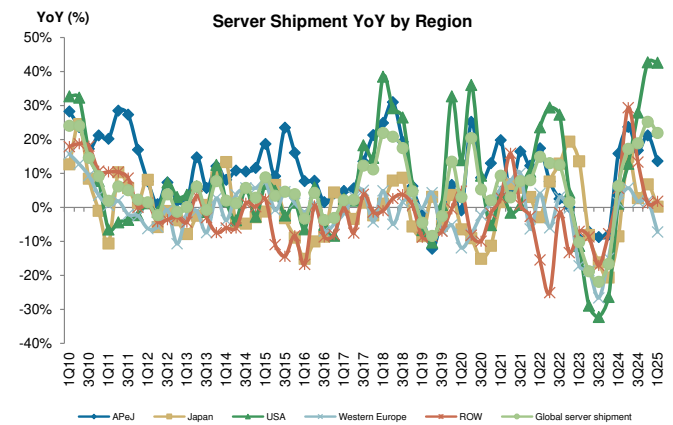
Source: IDC, Morgan Stanley Research

Exhibit 2: Worldwide Server Market Value and YoY Growth



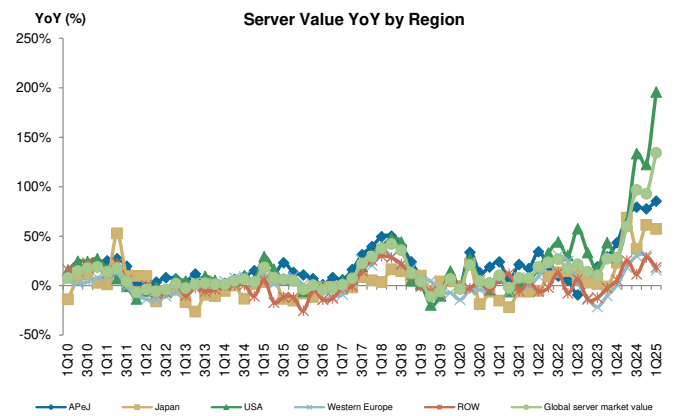
Source: IDC, Morgan Stanley Research

Exhibit 3: Worldwide Server Shipments – YoY Growth by Region



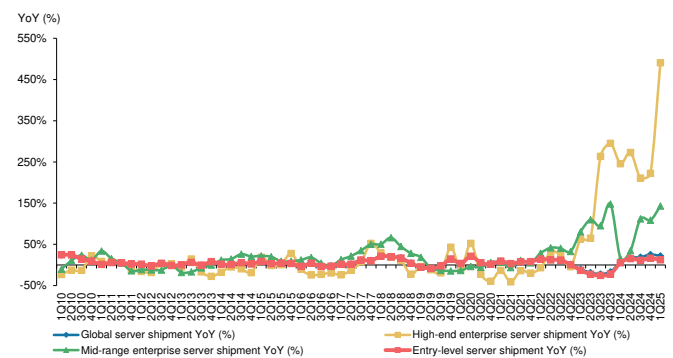
Source: IDC, Morgan Stanley Research

Exhibit 4: Worldwide Server Value – YoY Growth by Region



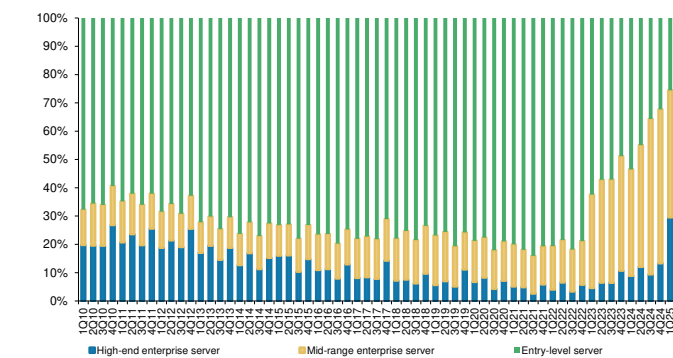
Source: IDC, Morgan Stanley Research

Exhibit 5: YoY Shipment Growth by Price Segment



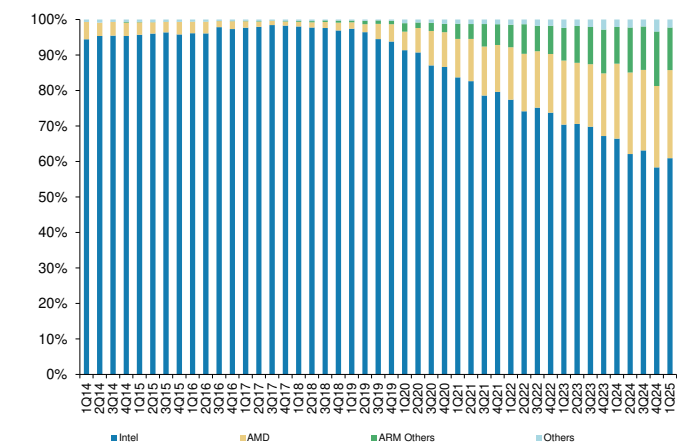
Source: IDC, Morgan Stanley Research

Exhibit 6: Value Mix by Price Segment



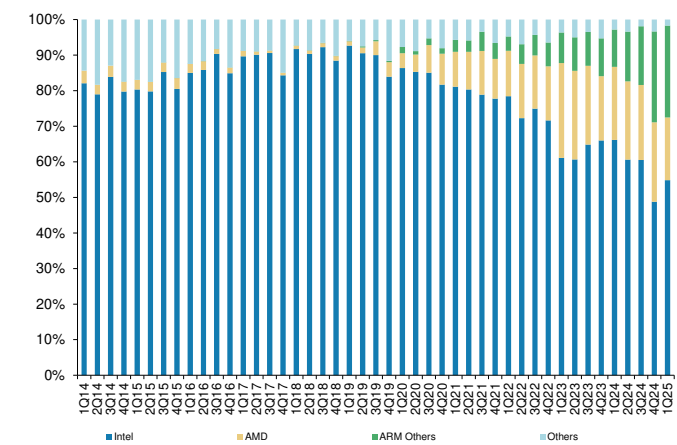
Source: IDC, Morgan Stanley Research

Exhibit 7: Volume mix by CPU vendor



Source: IDC, Morgan Stanley Research.

Exhibit 8: Value mix by CPU vendor



Source: IDC, Morgan Stanley Research.

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1650	44%	372	45%	23%	782	46%
Not-Rated/Hold	4	0%	0	0%	0%	2	0%
Underweight/Sell	602	16%	74	9%	12%	235	14%
Total	3,749		825			1717	

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/13/2025)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$39.05
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb43.55
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$30.95
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.70
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.24
Eoptolink Technology Inc Ltd (300502.SZ)	O (05/20/2025)	Rmb100.05
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$387.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.89
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb27.76
Largan Precision (3008.TW)	O (03/31/2025)	NT\$2,330.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb9.91
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb11.81
Q Technology (Group) Company Ltd (1478.HK)	E (11/10/2023)	HK\$7.43
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb76.99
Shenzhen Transsion Holdings Co Ltd (688036.SS)	O (10/24/2023)	Rmb77.61
Sunny Optical (2382.HK)	E (03/31/2025)	HK\$63.45

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (10/09/2024)	Rmb73.47
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb31.23
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$51.95
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb33.52
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$15.34
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb83.18
YuTong Optical Technology Co Ltd (300790.SZ)	E (04/05/2022)	Rmb19.99
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb18.86
Zhongji Innolight Co Ltd (300308.SZ)	O (11/06/2023)	Rmb116.65
ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$23.30
ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb31.48
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$797.00
Advantech (2395.TW)	O (01/20/2021)	NT\$345.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$872.00
AU Optronics (2409.TW)	E (09/15/2024)	NT\$12.70
Bizlink (3665.TW)	O (03/10/2025)	NT\$752.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb3.89
BOE Varitronix Ltd (0710.HK)	O (06/20/2023)	HK\$6.76
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$350.00
E Ink Holdings Inc. (8069.TWO)	E (05/08/2025)	NT\$216.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$34.15
Hiwin Technologies Corp. (2049.TW)	U (05/12/2025)	NT\$216.00
Innolux (3481.TW)	E (04/07/2025)	NT\$12.15
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$2,165.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb21.07
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$159.00
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb11.91
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.30
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb7.91
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb57.05
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$36.40
Asustek Computer Inc. (2357.TW)	E (04/23/2025)	NT\$684.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$28.65
Giga-Byte Technology Co. Ltd. (2376.TW)	O (12/15/2022)	NT\$287.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$278.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb48.81
Lenovo (0992.HK)	O (02/05/2025)	HK\$9.15
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,380.00
Nan Ya PCB (8046.TW)	U (12/21/2022)	NT\$106.50
Pegatron Corporation (4938.TW)	E (03/07/2022)	NT\$83.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$287.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb28.00
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb95.50
Unimicron (3037.TW)	E (04/15/2025)	NT\$102.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$118.50
Wiwynn Corp (6669.TW)	O (07/29/2024)	NT\$2,565.00
Yageo Corp. (2327.TW)	++	NT\$471.50
Zhen Ding (4958.TW)	E (08/02/2022)	NT\$100.50
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$763.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$705.00
Catcher Technology (2474.TW)	E (05/22/2024)	NT\$212.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$398.00

Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb20.90
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$64.30
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb22.01
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$156.50
LandMark Optoelectronics Corporation (3081.TWO)	E (01/09/2025)	NT\$324.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb8.19
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$108.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb31.25
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$104.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$104.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$121.50

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